

Japan Daily Brief

Saturday, September 12, 2026

2,224 words · 9 min read

RE: DPRK missile salvo post-Freedom Edge · BOJ rate hike next week · China sevenfold visa fee · Okinawa governor vote tomorrow · nuclear sub option

NIKKEI 225
64,011.34
▼ -3.60%

USD/JPY
153.55
▼ -1.69%

BRENT
\$104.61
▲ +6.83%

BOJ RATE
1.25%

• TODAY AT A GLANCE

- 1 North Korea fired multiple short-range ballistic missiles toward the Sea of Japan on September 12, one day after Freedom Edge US-Japan-South Korea trilateral exercises concluded near Jeju Island.
- 2 The BOJ is set to raise its policy rate to 1.25% next week — which would mark the highest level in 31 years, per Japan Times and Nikkei Asia — with sources indicating the board will offer few clues on its terminal rate.
- 3 China confirmed a sevenfold hike in visa fees for Japanese nationals citing reciprocity, following Japan's July introduction of higher fees for foreign nationals, extending Beijing's sequence of bilateral economic-pressure measures.

• TOP STORIES

DPRK

North Korea fires multiple ballistic missiles toward Sea of Japan, one day after Freedom Edge ends

North Korea fired multiple ballistic missiles toward the Sea of Japan on September 12, South Korea's Joint Chiefs of Staff confirmed, one day after the US-Japan-South Korea Freedom Edge trilateral exercises concluded near Jeju Island. The US stated the launches did not pose an immediate threat, while Anadolu Ajansı reported the US provided assurances to allies following the launches.

per Mainichi: "North Korea fires ballistic missiles toward Sea of Japan"

MAINICHI

ECONOMY-BOJ

BOJ set to raise policy rate to 1.25% next week — highest level since April 1995

The Bank of Japan is set to raise its policy rate to 1.25% at its meeting next week, per Japan Times and Nikkei Asia reporting sourced to officials; the last time the policy rate stood at 1.25% was April 1995. Reuters separately reported the BOJ will offer few clues on its terminal rate, while a BOJ official warned that rates may need to rise faster than expected.

per The Japan Times: "BOJ set to raise interest rate to 1.25% next week"

THE JAPAN TIMES

DEFENSE

Defense Minister Koizumi declines to rule out nuclear submarines days after US positive signal

Defense Minister **Shinjiro Koizumi** declined to exclude nuclear-powered submarines as an option for Japan's force structure, speaking publicly days after the US signaled a positive view of the possibility. The statement marks the first time a sitting Japanese defense minister has declined to rule out the nuclear submarine option on the record in this cycle of alliance modernization discussions.

per The Japan Times: "Koizumi says Japan not ruling out nuclear subs, days after U.S. offers positive view"

THE JAPAN TIMES

ALLIANCE

China threat perception reshaping Okinawa base calculus ahead of September 13 governor vote

Voters in Okinawa, long hostile to the US military presence, are showing growing acceptance of a stronger military posture in response to China's regional activities, with the Japan Times and WSJ both reporting a shift in public sentiment ahead of Saturday's gubernatorial election. The outcome will shape Tokyo's near-term ability to advance the Henoko relocation of MCAS Futenma.

per The Japan Times: "China threat erodes Japanese anger over U.S. bases ahead of vote"

THE JAPAN TIMES

• OVERNIGHT

ALLIANCE

WSJ: Okinawa residents increasingly resigned to US bases, wary of China · WSJ

Many Okinawa islanders are now resigned to the American military presence and wary of China as Japan shifts toward stronger defense, the WSJ reports ahead of the September 13 gubernatorial election. The shift reflects eroding anti-base sentiment driven by Beijing's regional posture rather than any policy concession from Tokyo.

DEFENSE

Japan eyes subsidies to build emergency capacity for drones and ammunition · Nikkei Asia

Japan is considering subsidies to create emergency surge capacity for drone and ammunition production, Nikkei Asia reports, as Tokyo works to reduce supply-chain vulnerability under its expanded defense buildup. The measure would complement the September 4 pledge by PM Takaichi to accelerate AI and unmanned defense asset introduction into SDF operations.

ENERGY

Japan pursues next-generation fast breeder reactors as China and Russia lead · Nikkei Asia

Japan is moving to develop next-generation fast breeder reactors amid concerns that China and Russia are pulling ahead in the technology, Nikkei Asia reports. The push aligns with Japan's GX energy strategy and comes as the government simultaneously designated 18 green transformation strategy regions.

DIPLOMACY

Equal Earth world map corrected after Japan demanded recoloring of disputed islands · Mainichi

The Japanese government confirmed the Equal Earth map — using a UN-encouraged projection that had shaded Japan's claimed Northern Territories the same color as Russia — was corrected after Tokyo demanded recoloring.

The resolution follows Russia's Foreign Ministry's earlier rejection of Japan's demand to remove a Khabarovsk war-memorial statue.

DEFENSE

Volcanic alert raised to level 3 for Hokkaido's Mt. Tokachi · Mainichi

Japan's weather agency raised the volcanic alert level for Mt. Tokachi in Hokkaido to level 3, restricting access to surrounding areas. The volcano sits in Japan's northernmost main island, which has been the focus of heightened defense attention given Russia's Northern Territories posture.

• STAT OF THE DAY

7x

China's visa fee hike for Japanese nationals, citing 'reciprocity'

China's Foreign Ministry confirmed the sevenfold increase following Japan's introduction of higher fees for foreign nationals in July, adding to Beijing's sequence of economic-pressure measures that include September's anti-dumping levies on Japanese dichlorosilane.

China hikes visa fee sevenfold for Japanese visitors, citing 'reciprocity' — Nikkei Asia

REGIONAL PRESSURE WATCH WATCH

High — 57 items (38 DPRK, 13 BOJ, 3 Chief Cabinet Sec, 2 China MOFA, 1 MOFA presser)

PM Watch: No confirmed PM appearance today · 3 day(s) since last confirmed appearance

CHINA

China's Foreign Ministry confirmed a sevenfold hike in visa fees for Japanese nationals, citing Japan's July introduction of higher fees for foreign nationals as the reciprocity basis; the move follows September's anti-dumping levies on Japanese dichlorosilane and extends Beijing's multi-instrument economic-pressure sequence against Japan. No new Senkaku CCG intrusion or PLA aerial activity appears in today's articles.

NORTH KOREA

North Korea fired multiple ballistic missiles toward the Sea of Japan on September 12, one day after Freedom Edge 2026 US-Japan-South Korea trilateral exercises concluded near Jeju Island; South Korea's Joint Chiefs of Staff confirmed the launches and the US stated they posed no immediate threat.

RUSSIA

The Japanese government confirmed the Equal Earth map — which had shaded Japan's claimed Northern Territories the same color as Russia — was corrected after Tokyo demanded recoloring; the resolution addresses one specific symbolic provocation while the broader Russia-Japan standoff over the Khabarovsk war memorial statue and the Northern Territories territorial dispute continues.

Senkaku / ECS: No new CCG intrusion or acute Senkaku incident appears in today's articles; the prior baseline of sustained Chinese aerial surveillance activity near Japanese airspace (JASDF scrambles through at least September 10) continues as the standing pattern.

"China raises visa fees for Japanese citizens on reciprocity principle"

Bottom line: North Korea's September 12 missile salvo — fired within 24 hours of Freedom Edge ending — is the most acute regional signal today and follows the commissioning of Pyongyang's second nuclear-capable destroyer; watch for Tokyo's formal protest statement and whether JASDF scramble activity resumes alongside ongoing China economic-pressure measures.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%
FNN · Sep 5, 2026	62.5%	32%
NHK · Sep 10, 2026	52.8%	33.2%

Discourse: The cabinet reshuffle planned for September 17 comes as approval ratings diverge sharply across pollsters — from 62% (Nikkei) to a record-low 50.2% (Kyodo) — with fiscal concerns cited as the primary drag in Kyodo and Mainichi surveys.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• UPCOMING

Sep 13	Okinawa gubernatorial election: vote count Polls close September 13; result will determine who governs Japan's southernmost prefecture and its posture on the Henoko base relocation and US force presence.
Sep 17	PM Takaichi cabinet reshuffle Kyodo sources report the reshuffle is planned for September 17; PM Takaichi is reported to be prioritizing ministers with US policy expertise ahead of trade and alliance negotiations.

Sep
19

BOJ Monetary Policy Meeting (estimate)

Multiple sources — Reuters, Japan Times, Nikkei Asia — report the BOJ is set to raise its policy rate to 1.25% next week, which would mark the highest level since April 1995; a BOJ official separately warned rates may need to rise faster than expected.

Sep
22

PM Takaichi address to UN General Assembly

PM Takaichi is confirmed to address the UN General Assembly on September 22, providing a platform for Japan's positions on the DPRK, Russia-Ukraine, and Indo-Pacific security.

Oct
5

Extraordinary Diet session opens

Sources cited by Kyodo report an extraordinary Diet session is planned from October 5, with expected focus on fiscal and security legislation following the cabinet reshuffle.

• JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · SATURDAY, SEPTEMBER 12, 2026

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Press Secretary Kitamura Toshihiro*

MOFA issues statement condemning Houthi attacks on Yemen and Saudi Arabia

Press Secretary Kitamura Toshihiro released a statement expressing Japan's deep concern over Houthi attacks, consistent with Tokyo's sustained engagement on Middle East maritime security affecting Japanese shipping lanes.

→ [MOFA](#) ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS

Japan lowers Israel travel advisory level

The Japanese government lowered its travel advisory level for Israel, per a MOFA announcement carried by the Jerusalem Post.

→ [jpost.com](#) ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY / CABINET · *Environment Minister Hirotaka Ishihara*

Cabinet adopts measures to eradicate invasive longhorn beetle

Environment Minister **Hirotaka Ishihara** announced systematic wide-area pest control measures targeting the invasive longhorn beetle, with the government designating it a priority eradication target.

→ [The Japan Times](#) ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

Japan designates 18 green transformation strategy areas with regulatory relief and subsidies

METI designated 18 regions as green transformation strategy areas, easing land-use regulations and providing subsidies to attract domestic and foreign investment as part of Japan's GX (green transformation) industrial policy push.

• BUSINESS & ECONOMY

FINANCE · BLOOMBERG · GPIF, SANTANDER

Japan's GPIF may sell \$62 billion of US Treasuries, Santander says

Santander analysts estimate Japan's Government Pension Investment Fund may sell *\$62 billion* of US Treasuries, Bloomberg reports, a move that would add to existing upward pressure on US long rates and intersect with the broader Japan-US fiscal and currency debate. The estimate comes as the BOJ prepares to raise rates and the yen has strengthened.

MANUFACTURING · NIKKEI ASIA · NIPPON STEEL

Nippon Steel makes \$2 billion contrarian bet on Japan's automotive market

Nippon Steel is committing *\$2 billion* to Japan's automotive market against prevailing pessimism about domestic auto demand, Nikkei Asia reports, as the company seeks to consolidate its position in high-value steel supply for EV and hybrid production. The bet comes as Japan automakers plan factory calendar revamps from FY2027 to attract workers.

AUTO · NIKKEI ASIA · SUMITOMO METAL MINING

Sumitomo Metal launches Japan's first EV battery recycling plant

Sumitomo Metal Mining launched Japan's first dedicated electric vehicle battery recycling plant, Nikkei Asia reports, a step toward reducing Japan's dependence on imported battery materials at a moment when China's export-control pressure on critical minerals remains an active risk. The facility positions Japan ahead of anticipated circular-economy regulatory requirements.

TECH · NIKKEI ASIA · FANUC, GOOGLE

Fanuc and Google team up on AI-automated welding robots

Japan's Fanuc and Google announced a partnership to develop AI-automated welding robots, Nikkei Asia reports, deepening US-Japan technology co-investment in industrial automation. The collaboration connects to Japan's broader push to integrate AI into manufacturing amid a structural labor shortage.

AUTO · NIKKEI ASIA · NISSAN

Nissan targets 1 million vehicle Japan production capacity

Nissan is aiming to maintain domestic production capacity at *1 million vehicles* per year, Nikkei Asia reports, as it navigates financial restructuring and shifts in alliance strategies with Renault and Honda. The target signals a floor on domestic manufacturing commitment as the broader Japan auto industry revamps work calendars from FY2027.

• INDO-PACIFIC

DPRK · THE JAPAN TIMES

DPRK missile salvo follows conclusion of US-Japan-ROK Freedom Edge drills

Japan Times confirmed multiple North Korean launches came immediately after Freedom Edge, continuing Pyongyang's pattern of retaliatory signaling following US-Japan-South Korea combined exercises.

CHINA-JAPAN · NIKKEI ASIA

China raises visa fees sevenfold for Japanese nationals on 'reciprocity' grounds

China's sevenfold visa fee hike for Japanese nationals, announced by the Foreign Ministry and reported by both Nikkei Asia and Japan Times, adds to the running sequence of Beijing economic-pressure tools deployed against Japan since September's anti-dumping levies on dichlorosilane.

KOREA-JAPAN · YONHAP

Japan again omits mention of Korean forced labor at Sado mine memorial event

Japan made no mention of Korean forced laborers at this year's Sado mine memorial event, Yonhap reports, sustaining a bilateral friction point that has complicated Tokyo-Seoul historical reconciliation efforts within the US-Japan-ROK trilateral framework.

• THE WIRE

DPRK

NHK

South Korea confirms North Korea ballistic missile launches

NHK World reported South Korea's confirmation of North Korea's September 12 ballistic missile launches toward the Sea of Japan, consistent with Seoul's Joint Chiefs of Staff statement.

DIPLOMACY

NHK

Japan eyes fast-track process for repatriation of war dead

Japan is looking to expedite the repatriation of remains of war dead, NHK World reports, a humanitarian and political priority with implications for Japan's bilateral relations with Russia and other countries where Japanese servicemen are interred.

ENERGY

NIKKEI ASIA

Mitsui and Tokyo Gas join long-term power trading talks in Japan

Mitsui and Tokyo Gas have joined discussions among Japan power market participants on long-term trading frameworks, per Nikkei Asia, as Japan works to stabilize energy supply amid its green transformation and nuclear restart agenda.

POLITICS-DIET

NIKKEI ASIA

Over 20% of young Japanese plan to never marry, survey finds

A survey cited by Nikkei Asia found that more than *20 percent* of young Japanese people plan never to marry, adding demographic data to the policy backdrop driving the Takaichi government's income-linked benefit initiatives and consumption tax debate.

ECONOMY-BOJ

NIKKEI ASIA

Nikkei Asia: Can Bessent's 'I am the house now' warning hold yen appreciation?

Nikkei Asia examines whether US Treasury Secretary Scott Bessent's assertion of currency-market authority can sustain yen strength as the BOJ approaches its rate decision, with USD/JPY trading around 153.55.

• ON THIS DAY

SEPTEMBER 8, 1951

The San Francisco Peace Treaty was signed on September 8, 1951, formally ending World War II with Japan and establishing the original framework for the US-Japan Security Treaty signed the same day.

The alliance architecture created on that date remains the legal basis for US extended deterrence commitments — including Article 5 — now being tested by concurrent DPRK missile launches and China's sustained economic-pressure campaign.

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